

About VFM® — Value Flow Mechanisms Architecture

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Architecture

Governing Value Across the Complete Value Lifecycle

Value does not simply exist.

It emerges within context.

It becomes recognizable.

It enters states.

It changes.

It may develop, strengthen, mature, compound, degrade, disappear into zero, recover, or ultimately cease to remain recoverable.

Assets can retain physical existence while losing productive value.

Information can remain stored while becoming inaccessible or unusable.

Capabilities can become dormant and later recover.

Technologies can lose economic relevance while retaining strategic, historical, informational, or material value.

Entire value relationships can disappear while the underlying objects continue to exist.

VFM® — Value Flow Mechanisms Architecture was created to provide a stable governance architecture for this complete value lifecycle.

VFM® does not define accounting systems, valuation formulas, financial markets, pricing mechanisms, payment systems, taxation, ownership structures, investment models, asset-management software, or economic policy.

VFM® governs value across its lifecycle.

Why VFM® Exists

Organizations constantly create, recognize, measure, develop, lose, recover, and abandon value.

But the existence of an asset, price, accounting entry, market, capability, technology, dataset, resource, or economic relationship does not itself answer fundamental governance questions:

Within what context does value exist?

Where did the value originate?

When did value actually emerge?

When can value legitimately be recognized?

What state is the value currently in?

Has the value changed?

Is existing value developing or degrading?

Has value merely declined, or has it reached zero?

Does zero value still retain restoration potential?

Can previously existing value legitimately be restored?

When has the same value ceased to remain recoverable?

VFM® addresses these questions by defining the governable spaces that exist throughout the complete value lifecycle.

Rather than standardizing one valuation technique or economic model, VFM® standardizes the governance conditions under which value can be contextualized, originated, emerged, recognized, state-governed, changed, developed, degraded, nullified, restored, and ultimately extinguished.

Value Before Valuation

The objective of VFM® is not to prescribe how an organization must calculate monetary value.

The objective is to define how value itself must remain governable.

Every governed value exists within a context.

Every value has an origin.

Not every potential value actually emerges.

Not every emerging value has yet been legitimately recognized.

Recognized value occupies a state.

Value states may change.

Existing value may develop.

Existing value may degrade.

Degradation may eventually reach zero.

Zero value may still retain restoration potential.

Previously existing value may become recoverable through governed restoration.

And where legitimate recoverability of the same value ends, the value lifecycle may reach extinction.

VFM® therefore treats Value Lifecycle Governance as an independent governance domain.

The Value Flow Mechanisms Architecture

VFM® consists of eleven independent value governance spaces.

Each space answers one architectural question.

Each space governs one distinct part of the value lifecycle.

Each space has a defined operational purpose and governance boundary.

Together, these spaces form the complete Value Flow Mechanisms Architecture.

The architecture progresses through:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

These spaces are governed through eleven Parent Standards:

Value Context

- Value Origin
- Value Emergence
- Value Recognition
- Value State
- Value Change
- Value Development
- Value Degradation
- Value Nullification
- Value Restoration
- Value Extinction

This progression represents the governance journey from establishing where and under what conditions value exists to determining whether previously existing value can still legitimately continue, recover, or has reached terminal lifecycle closure.

Value Spaces Rather Than Financial Categories

VFM® does not organize value governance around accounting categories, asset classes, currencies, markets, departments, industries, financial instruments, or valuation technologies.

Instead, it organizes governance around distinct value governance spaces.

Each space represents an independent governance responsibility that may exist regardless of the type of value being governed.

An industrial machine, dataset, patent, organizational capability, infrastructure asset, digital resource, scientific discovery, production process, technology, contractual relationship, strategic capability, or future value-bearing object may be fundamentally different.

Yet each may still require governance of:

context → origin → emergence → recognition → state → change → development / degradation → nullification → restoration / extinction.

Because these spaces are value-lifecycle based rather than technology-specific or industry-specific, VFM® can remain applicable while economic systems, technologies, assets, business models, and forms of value continue to evolve.

A Methodology Rather Than a Valuation System

VFM® is a governance methodology.

It is not a valuation formula.

It is not an accounting standard.

It is not a pricing model.

It is not an asset-management platform.

It is not an economic theory.

The architecture defines which value governance conditions must remain distinguishable, how value lifecycle spaces relate to one another, where their boundaries lie, and what must be established before a change in value can legitimately acquire a governed lifecycle meaning.

Organizations remain free to select their own:

valuation methodologies, accounting frameworks, financial models, asset-management systems, economic models, pricing mechanisms, investment methodologies, operational systems, data platforms, risk models, optimization systems, decision frameworks.

VFM® governs the methodological structure surrounding value across those implementations rather than replacing them.

This separation allows the architecture to remain stable while the mechanisms used to calculate, represent, exchange, or manage value continue to change.

From Value Context to Value Finality

Value cannot be governed as a single number.

Before value can be understood, its Value Context must be established.

Before value can be attributed to a lifecycle, its Value Origin must be distinguishable.

Before value can be recognized, it must first emerge.

Before a value state can be governed, value must be sufficiently recognized.

Before change can be understood, a prior Value State must exist.

Before development or degradation can be distinguished, Value Change must be identifiable.

Before value can be nullified, degradation or another legitimate transition toward zero must be understood.

Before zero value can be treated as terminal, its restoration potential must remain distinguishable from extinction.

Before restoration can occur, previously existing value must remain legitimately recoverable.

And before the value lifecycle can be closed, extinction must be distinguishable from degradation, dormancy, inaccessibility, nullification, failed restoration, or temporary zero.

VFM® transforms these dependencies into a structured and navigable Value Lifecycle Governance Architecture.

Value Is Not the Object

One of the most important distinctions within VFM® is:

Value $\neq$ Value Object

A machine can physically exist while its productive value disappears.

A building can remain standing while a particular commercial value relationship ends.

A dataset can remain stored while its informational value becomes inaccessible.

A patent can continue to exist legally while its commercial value degrades.

A technology can become economically obsolete while retaining scientific, historical, strategic, or educational value.

VFM® therefore governs value independently from the mere continued existence of the object associated with it.

This distinction allows multiple values associated with the same Value Object to follow different lifecycle paths.

Extinction of One Value $\neq$ Extinction of the Value Object.

And:

Extinction of One Value Dimension $\neq$ Extinction of All Value Dimensions.

Value Is Contextual

VFM® establishes another foundational principle:

Value does not exist independently of context.

The same object may possess different value across different relationships, purposes, environments, times, users, systems, or operational conditions.

A production machine may have:

productive value,

material value,

resale value,

replacement value,

strategic value,

historical value,

informational value,

or technological value.

These values do not necessarily emerge, develop, degrade, reach zero, recover, or become extinct at the same time.

VFM® therefore begins with Value Context rather than assuming that value is a universal property permanently embedded within an object.

This creates a methodological boundary between:

the existence of an object

and

the existence of a particular value relationship associated with that object.

Value Emergence Is Not Value Development

VFM® distinguishes the creation or appearance of value from the growth of value that already exists.

Value Emergence ≠ Value Development

Value Emergence concerns the point at which value begins to exist within a governed context.

Value Development concerns value that already exists and subsequently grows, matures, strengthens, compounds, or otherwise develops.

This distinction prevents new value from being incorrectly represented as merely an increase in an existing value.

Likewise, where a legitimately extinguished value lifecycle has already ended, genuinely new value appearing later may constitute:

New Value Emergence

rather than restoration of the extinct value.

Value State Is Not Value Change

VFM® separates what value is currently from what has happened to it.

Value State ≠ Value Change

A Value State describes the governed condition of value at a particular point or period.

Value Change describes movement relative to a previous governed value condition.

This distinction allows organizations to separate:

current condition

from

lifecycle movement.

A value may therefore remain in a positive state while degrading, remain at zero while restoration potential persists, or enter a restored state after successful recovery.

Value Degradation Is Not Value Nullification

Declining value does not automatically mean that value has disappeared.

VFM® therefore establishes:

Value Degradation $\neq$ Value Nullification

Value Degradation governs deterioration of existing value while some relevant value remains.

Value Nullification governs the transition through which the relevant governed value reaches zero.

This distinction is essential because the governance consequences of declining value and zero value are fundamentally different.

A value that has degraded may still remain positive.

A value that has been nullified has reached a governed zero-value condition.

But even then:

Zero Value $\neq$ Value Extinction.

DeMonet™ and the Zero-Value Boundary

VFM® introduces DeMonet™ as the governed value-nullification mechanism through which relevant existing value may transition into a zero-value condition.

The canonical transition is:

Positive Value $\rightarrow$ DeMonet™ $\rightarrow$ Zero-Value Condition $\rightarrow$ ZVA™ — Zero Value Asset™

DeMonet™ is a mechanism.

ZVA™ is a governed value state.

The distinction is fundamental:

DeMonet™ $\neq$ ZVA™

A mechanism describes how value transitions.

A state describes the resulting value condition.

A ZVA™ — Zero Value Asset™ may have zero relevant value within the governed context while the underlying Value Object continues to exist.

Critically, zero does not automatically mean terminal.

A ZVA™ may retain legitimate restoration potential.

Zero Value Is Not Value Extinction

One of the central boundaries of VFM® is:

Zero Value $\neq$ Value Extinction

A value may reach zero because it is temporarily inaccessible.

A market may disappear.

A capability may become dormant.

A machine may lose productive use.

A dataset may become technologically unreadable.

A resource may become economically unusable under current conditions.

A technology may become obsolete.

None of these conditions alone proves that the same value can never legitimately return within its governed lifecycle.

VFM® therefore preserves a governance space between:

Value at Zero

and

Value Extinct.

That space is where restoration potential matters.

ReMonet™ and Value Restoration

VFM® introduces ReMonet™ as the governed value-restoration mechanism through which previously existing value that has become degraded, impaired, dormant, lost, inaccessible, or zero may be acted upon so that recoverable value can re-emerge.

The canonical transition is:

Degraded / Dormant / Zero Value $\rightarrow$ ReMonet™ $\rightarrow$ Restored Value $\rightarrow$ New Value State

ReMonet™ does not mean that every zero-value object should be restored.

It does not guarantee successful restoration.

And it does not create prior value where no prior value existed.

No Prior Value $\rightarrow$ No Restoration of That Value

ReMonet™ governs recovery of previously existing value.

It therefore remains distinct from Value Emergence and Value Development.

New Value $\neq$ Restored Value.

Existing Value Growth $\neq$ Restored Value.

DeMonet™ and ReMonet™ Are Not Simple

Opposites

Value lifecycles are not necessarily reversible.

The fact that a particular mechanism or event reduced value to zero does not mean that reversing the same mechanism will restore the original value.

DeMonet™ $\neq$ Reverse ReMonet™

Restoration may require different conditions, technologies, relationships, capabilities, information, resources, or contexts from those that existed before nullification.

VFM® therefore governs nullification and restoration as distinct lifecycle spaces rather than treating value as a number moving mechanically up and down.

The Recoverability Boundary

One of the most consequential boundaries in VFM® lies between Value Restoration and Value Extinction.

The governance question is not simply:

Is the value currently zero?

The stronger question is:

Can the same governed value still legitimately return within the defined lifecycle, context, value dimension, and restoration boundary?

A failed restoration attempt does not automatically prove extinction.

High restoration cost does not automatically prove extinction.

Current technological inability does not automatically prove extinction.

Dormancy does not automatically prove extinction.

Obsolescence does not automatically prove extinction.

Temporary impossibility does not automatically prove extinction.

VFM® therefore treats recoverability as a governed boundary rather than an assumption.

Where recoverability remains legitimate:

Value Restoration remains possible.

Where legitimate recoverability of the same value has ended:

Value Extinction becomes possible.

Value Extinction and Finality

Value Extinction represents the terminal lifecycle condition in which previously existing value ceases to remain recoverable as the same governed value within the defined lifecycle.

This does not mean that the underlying object disappears.

It does not mean that every associated value disappears.

It does not erase historical value.

And it does not prohibit genuinely new value from emerging in the future.

Value Extinction ≠ Object Extinction.

Value Finality ≠ Historical Erasure.

Future Value Emergence ≠ Restoration of Final Value by Default.

A machine whose productive value becomes legitimately extinct may still possess material or historical value.

A dataset whose original informational value becomes irrecoverable may later support a new analytical relationship through future technology.

That later value may represent a new Value Emergence rather than reopening the extinct lifecycle.

VFM® therefore allows value lifecycles to end without declaring the Value Object permanently incapable of generating any future value.

Who May Benefit

VFM® may support:

enterprises, asset owners, infrastructure operators, industrial organizations, financial institutions, insurers, investors, public institutions, governments, technology organizations, AI systems, autonomous systems, data-intensive organizations, intellectual-property owners, research organizations, asset-management organizations, restructuring and recovery environments, strategic planning teams, risk and assurance functions,

organizations managing complex value portfolios, organizations seeking to understand how value changes across time.

Relationship to Other OOF® Architectures

VFM® governs the Value Lifecycle.

It operates alongside complementary OOF® architectures without absorbing their independent governance domains.

GOA™ — Governance Architecture governs governance structure, authority, boundaries, scope, delegation, accountability, continuity, and interoperability.

ORA™ — Operational Reality Architecture governs Operational Reality and helps establish what actually exists or occurs within the operational environment from which value-relevant conditions may arise.

VALIDOS® — Validation Governance Architecture governs validation objects, validation criteria, methods, evidence, determinations, Validation States, reliance, and revalidation.

INTEGROS® — Integrity Governance Architecture governs integrity across the integrity lifecycle.

OBIDENITY® — Origin-Bound Identity Governance Architecture governs origin-bound identity, ownership, authority, permission, responsibility, provenance, transfer, continuity, and auditability.

AGA™ — Accountability Governance Architecture governs accountability, responsibility, attribution, delegation, and accountable relationships.

CLA® — Classification Architecture governs classification rather than value recognition or value state.

ADIT® — Auditability & Evidence Architecture governs auditability and evidential structures rather than the value lifecycle itself.

SIMULOS® — Simulation Governance Architecture governs simulation and may provide simulation-derived information relevant to future or potential value conditions without determining the VFM® Value Lifecycle.

AIG® — AI Governance Architecture governs AI behavior.

ASGA™ — Autonomous Systems Governance Architecture governs autonomous systems and operational autonomy.

CLIA® — Cognitive Governance Intelligence Architecture governs cognition, reasoning, interpretation, and cognitive integrity.

MGIA™ — Memory Governance Intelligence Architecture governs memory, memory continuity, and memory integrity.

Together, these architectures allow value to interact with operational reality, identity, validation, integrity, accountability, classification, evidence, simulation, AI, autonomy, cognition, and memory without collapsing those independent governance domains into VFM®.

Use Case 1 — Industrial Asset That Reaches

Zero but May Still Recover

An industrial company operates a specialized production machine.

For years, the machine generates substantial productive value.

A technological shift causes demand for its output to decline.

Utilization falls.

Maintenance costs rise.

Its productive value degrades.

Eventually, under the current production context, its relevant productive value reaches zero.

A conventional asset process may classify the machine as obsolete, impaired, written off, or economically unusable.

VFM® asks a larger lifecycle question.

What value is actually being governed?

Within which context?

What was its origin?

When did productive value emerge?

What prior Value States existed?

How did the value change?

When did degradation begin?

Has productive value actually reached zero?

Does zero mean terminal loss?

Could a new customer, retrofit, process modification, new market, new technology, relocation, or different operational configuration restore the same productive value relationship?

If legitimate restoration potential remains, the machine may enter:

ZVA™ — Zero Value Asset™

without entering Value Extinction.

A governed ReMonet™ pathway may subsequently restore previously existing productive value.

If the relevant productive capability becomes permanently unrecoverable within the governed lifecycle, VFM® may instead support a Value Extinction determination for that specific productive value.

Yet the machine may still retain:

material value,

scrap value,

component value,

historical value,

informational value,

or other independently governed values.

VFM® therefore prevents one zero-value condition from being mistaken for the disappearance of every value associated with the asset.

Zero value can be a lifecycle state rather than the end of the value lifecycle.

Use Case 2 — Historical Data That Appears

Worthless Until Technology Changes

An organization possesses a large historical dataset created decades earlier.

The original systems required to interpret the dataset no longer exist.

Documentation is incomplete.

Formats are obsolete.

Commercial demand has disappeared.

Under the current technological and operational context, the dataset may have no usable informational value.

Its relevant value may therefore reach zero.

A conventional process may classify the dataset as worthless and permanently irrelevant.

VFM® asks whether the value is actually extinct.

If the original information remains recoverable but currently inaccessible, the dataset may remain within a zero or dormant value condition while restoration potential persists.

Years later, new decoding technologies or AI systems may reconstruct the obsolete formats.

Previously inaccessible information becomes usable again.

If the same previously existing informational value has been recovered, the transition may represent:

Zero / Inaccessible Value → ReMonet™ → Restored Informational Value

But a different situation is also possible.

Suppose the original informational meaning has been irreversibly lost and its lifecycle legitimately reaches Value Extinction.

Decades later, an AI system discovers a completely different statistical use for surviving fragments.

That new analytical relationship need not reopen the extinct informational lifecycle.

It may represent:

New Value Emergence → New Value Lifecycle

VFM® therefore distinguishes restoration of previously existing value from the emergence of genuinely new value.

The same object can carry multiple value lifecycles across time without those lifecycles being methodologically confused.

The Long-Term Vision

Value is becoming increasingly difficult to govern through conventional asset categories alone.

AI can discover value in information previously considered useless.

Autonomous systems can dynamically change how resources are utilized.

Digital assets can acquire value without conventional physical form.

Industrial systems can move between productive, dormant, obsolete, recoverable, and repurposed conditions.

Infrastructure may carry economic, operational, strategic, societal, environmental, and resilience value simultaneously.

Technological change can restore capabilities that appeared permanently lost.

New relationships can create value around objects whose earlier value lifecycles have already ended.

As systems become more interconnected, the central question will no longer be only:

What is this asset worth?

It will increasingly become:

What value exists, within which context, where did it come from, what state is it in, how is it changing, can it be developed, has it degraded, has it reached zero, can it be restored, or has its lifecycle legitimately ended?

The long-term objective of VFM® is to provide a common Value Lifecycle Governance language through which organizations, institutions, AI systems, autonomous systems, and future governance infrastructures can identify and distinguish the fundamental lifecycle conditions through which value moves.

VFM® is intended to make value governable before emergence, at recognition, during active existence, through change, during development and degradation, at the zero-value boundary, throughout restoration, and at legitimate lifecycle extinction.

Canonical Principle

Assets, technologies, markets, economic systems, organizations, information environments, and forms of value will continue to change. Value lifecycle governance must remain stable. VFM® therefore governs the methodological conditions that determine the context in which value exists, where value originates, when value emerges, when it can be recognized, what state it occupies, how it changes, how it develops or degrades, when it reaches zero, whether previously existing value can legitimately be restored, and when recoverability has ended sufficiently for the same value lifecycle to reach extinction and finality.

Canonical Closing Statement

VFM® — Value Flow Mechanisms Architecture provides the governance foundation through which value can be formally contextualized, originated, emerged, recognized, state-governed, change-governed, developed, degraded, nullified, restored, and ultimately brought to governed extinction where legitimate recoverability of the same value has ended. By defining the independent governable spaces of the complete Value Lifecycle, VFM® establishes a technology-neutral and sector-neutral methodology for distinguishing the existence of value from the existence of its underlying object, value emergence from value development, value state from value change, degradation from nullification, zero value from extinction, restoration from new emergence, and terminal Value Finality from the future possibility of entirely new value. Through DeMonet™, ZVA™, ReMonet™, Value Asset™, and the wider governed lifecycle structure, VFM® provides methodological infrastructure for understanding not merely how much something may be worth, but how value itself originates, exists, moves, changes, develops, deteriorates, disappears into zero, returns where recoverability remains, and reaches legitimate closure where the same value can no longer return. VFM® therefore establishes Value Lifecycle Governance as an independent methodological domain capable of supporting enterprises, institutions, infrastructure, technology, data, AI, autonomous systems, economic environments, and future forms of value without reducing value governance to accounting, pricing, valuation, or the physical existence of assets.

Related Documents

[→ VFM® Architecture Map](#)

[→ VFM® Value Flow Mechanisms Architecture — Value Lifecycle Governance Layer](#)

[→ VFM® Complete Standards & Modules Index](#)

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Canonical Source

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